

Japan Daily Brief

Monday, September 28, 2026

1,447 words · 6 min read

RE: Typhon missiles to Kadena · BOJ July minutes: faster hikes debated · Takaichi intelligence panel · Russia rebuke · defense 3.5% target

NIKKEI 225
65,877.62
▲ +2.72%

USD/JPY
157.04
▼ -0.21%

BRENT
\$101.07
▼ -1.95%

BOJ RATE
1.25%

• TOP STORIES

ALLIANCE

US Typhon midrange missile system to be stored indefinitely at Okinawa's Kadena Air Base from mid-October

The Typhon ground-launched midrange missile system, previously deployed in Japan for joint military exercises, will be stored at Kadena Air Base indefinitely beginning mid-October. Russia's TASS separately quoted a diplomat saying Moscow 'does not believe Japan's promises to remove US missiles after drills,' and China has repeatedly labeled the Typhon deployment evidence of Japan's 'accelerating remilitarization.'

per The Japan Times: "Powerful U.S. missile system to be stored at Okinawa's Kadena Air Base"

THE JAPAN TIMES

DEFENSE

PM Takaichi launches 17-member intelligence panel eyeing Japan's own CIA

Sanae Takaichi convened a closed-door session of a 17-member panel to examine establishing a centralized domestic intelligence agency, stating 'Strengthening Japan's intelligence capabilities is an urgent priority.' The initiative advances alongside Japan's broader defense buildup and the Three Strategic Documents review.

per The Japan Times: "Takaichi launches intelligence panel, eyeing Japan's own CIA"

THE JAPAN TIMES

ECONOMY-BOJ

BOJ July minutes show board debated faster rate hikes; services inflation hits two-year high

Minutes from the BOJ's July 30-31 meeting show multiple board members argued for a faster pace of rate increases to anchor inflation at 2%, released the same day Japan's services producer price index for August reached its highest level in over two years. Japan's two-year bond yield is nearing 2% as market bets on an October rate hike mount, compounded by President Trump's remarks to PM Takaichi about a weak yen.

per Reuters: "Bank of Japan debated need for faster rate hikes, July minutes show - Reuters"

REUTERS

DEFENSE

Chief Cabinet Secretary Kihara calls Russian FM Lavrov's UNGA militarization claims 'factually incorrect'

Chief Cabinet Secretary **Minoru Kihara** formally rebutted Russian Foreign Minister Sergei Lavrov's UNGA speech, which accused Japan of pursuing militarization and opposed Japan's bid for a permanent UN Security Council seat. The rebuke follows PM Takaichi's own UNGA call last week to remove UN Charter 'enemy state' clauses referencing Japan.

per The Japan Times: "Tokyo rebuts Russia's U.N. speech accusing Japan of militarization"

THE JAPAN TIMES

POLITICS-DIET

New Okinawa governor expected to ease frictions on southwest defense buildup

Japan's efforts to bolster defenses in the Nansei (Ryukyu) island chain are expected to proceed more smoothly following the election of a new Okinawa governor backed by the ruling coalition, per Kyodo. The shift reduces anticipated local opposition to base construction and SDF deployments in the southwest that have been a persistent constraint on Tokyo's defense posture.

per Mainichi: "Japan's boosting of southwest defenses to be easier under new Okinawa gov."

MAINICHI

• STAT OF THE DAY

3.5%

Proposed new medium-term defense-spending target (% of GDP)

Japan is considering raising its defense spending target to 3.5% of GDP over 10 years, per a government adviser cited in the Japan Times — above the current 2%-of-GDP benchmark reached in JFY2025.

Higher defense spending won't unsettle markets, government adviser says — Japan Times

• JAPANESE GOVERNMENT

KANTEI/PM · CABINET · MOFA · MOD · METI · MOF · BOJ · DIET · MONDAY, SEPTEMBER 28, 2026

PM Watch: PM appeared today · 0 day(s) since last confirmed appearance — PM Takaichi convened the first closed-door session of her 17-member intelligence panel and made a public statement on strengthening Japan's intelligence capabilities.

外務省 · MINISTRY OF FOREIGN AFFAIRS (MOFA)

MOFA to recruit overseas experts in dual-use technology

Japan's Foreign Ministry is moving to hire specialists based abroad with expertise in dual-use technologies, part of a broader effort to strengthen economic security screening and technology intelligence capacity ahead of the fall Diet session.

防衛省 · MINISTRY OF DEFENSE (MOD)

JMSDF transport vessel Kunisaki enters Kijin Port for international emergency relief operations

The Japan Maritime Self-Defense Force transport vessel Kunisaki arrived at Kijin Port as part of ongoing international emergency relief operations, per MOD press release.

DIET SESSIONS / LDP

LDP

LDP money scandal resurfaces ahead of fall Diet session

Reports indicate that the LDP's fundraising scandal is re-emerging as a political liability ahead of the upcoming Diet session, with party members expressing anxiety over its potential impact on the government's legislative agenda.

CABINET

Takaichi reshuffle falls short of pledge to increase female cabinet representation

A Japan Times analysis finds that PM Takaichi's September cabinet reshuffle did not meet her stated goal of achieving Northern European-level female representation in the cabinet and party leadership, drawing criticism despite her record as Japan's first female prime minister.

CABINET / GOVERNMENT

Government examines new minister-level post for income-linked benefit program alongside consumption tax reduction

The government is considering creating a dedicated minister position to oversee an income-linked benefit scheme being developed in tandem with a proposed consumption tax reduction, per Asahi Shimbun reporting.

• PUBLIC SENTIMENT & APPROVAL POLLING

POLLSTER	APPROVE	DISAPPROVE
Asahi · Sep 28, 2026	51%	33%
ANN · Sep 23, 2026	58.3%	27.6%
Kyodo · Sep 23, 2026	53.4%	30.9%
Nikkei · Sep 5, 2026 · 23d ago	62%	33%
Yomiuri · Sep 19, 2026	59%	30%
FNN · Sep 15, 2026	61.6%	32.2%
NHK · Sep 10, 2026	52.8%	30.8%
JNN · Sep 7, 2026	62.5%	34.9%

Discourse: The LDP money scandal is resurging ahead of the fall Diet session, while PM Takaichi's reshuffle was criticized for failing to meet her stated pledge of Northern European-level female cabinet representation — two compounding political liabilities entering the legislative term.

• BUSINESS & ECONOMY

MACRO · REUTERS

EXCLUSIVE: Japan currency diplomat Mimura urges markets to heed 'very clear' yen warning

Japan's currency diplomat Mimura issued an exclusive warning that markets should take Tokyo's yen signals seriously, following Trump's direct comments to PM Takaichi on the weak yen. The warning reinforces the intervention posture as USD/JPY holds at 157.04.

MANUFACTURING · NIKKEI ASIA · NIDEC

Nidec to recognize over \$3.8 billion impairment loss amid accounting irregularities; president replacement under consideration

Japanese motor maker Nidec will recognize an impairment loss exceeding \$3.8 *billion* following disclosure of accounting irregularities, with the company considering replacing its president as losses may widen further. The scale of the write-down makes it one of the largest accounting-related impairments by a Japanese manufacturer in recent years.

REGIONAL PRESSURE WATCH

Normal — 11 items (BOJ: 6, Chief Cabinet Sec: 4, Kantei/PM: 1)

CHINA

Global Times published two pieces framing the Trump-Xi Washington summit as exposing Japan's 'illusions' about its strategic role, and invoking WWII history to delegitimize Japanese right-wing narratives — continuing Beijing's sustained counter-messaging following PM Takaichi's UNGA 'enemy state clause' call and the Typhon basing announcement. No new PLA or CCG activity near the Senkakus is reported in today's articles.

RUSSIA

Russia's TASS quoted a diplomat saying Moscow 'does not believe Japan's promises to remove US missiles after drills,' directly responding to the Typhon indefinite storage announcement. Chief Cabinet Secretary Kihara formally rebutted Russian FM Lavrov's UNGA accusation of Japanese militarization.

Senkaku / ECS: No new CCG or PLA activity near the Senkakus is reported in today's articles; the prior pattern of a Chinese marine research vessel conducting EEZ surveys near the islands (reported Sep 27) continues as the baseline.

"Russia does not believe in Japan's promises to remove US missiles after drills"

Russian diplomat (unnamed), via TASS · Russia does not believe in Japan's promises to remove US missiles after drills — diplomat - tass.com

"factually incorrect"

Chief Cabinet Secretary Minoru Kihara · Tokyo rebuts Russia's U.N. speech accusing Japan of militarization — Japan Times

Bottom line: The Typhon missile system's move to indefinite Kadena storage is the sharpest regional-pressure development today, drawing immediate Russian skepticism and fitting the sustained Chinese remilitarization narrative; no new kinetic activity from any adversary is reported.

OP-EDS & THINK TANK COMMENTARY

FOREIGN AFFAIRS

Japan Is Giving the United States a Chance in Asia

Japan's strategic alignment, defense buildup, and economic engagement are creating a genuine opening for the United States to sustain its position in Asia.

The Foreign Affairs piece argues that Japan's accelerating defense investments, intelligence reforms, and diplomatic activism — including at the UN General Assembly — present the US with a concrete partnership opportunity in Asia at a moment when other regional relationships are under strain. The argument frames Japan's current posture as an asset for US regional strategy rather than a liability or dependency.

SO WHAT The piece lands as Typhon missiles move to permanent Kadena storage and Tokyo considers a 3.5%-of-GDP defense target, directly buttressing the alliance case being made in Washington policy circles.

• UPCOMING

Oct
1

Permanent residency visa fees rise twentyfold in Japan

Tokyo's Regional Immigration Bureau saw waits of over seven hours on Sep 28 as applicants rushed to file before the fee increase takes effect. The surge follows PM Takaichi's broader immigration reform push.

Oct
15

US Typhon midrange missile system to be stored indefinitely at Kadena Air Base from mid-October

The Typhon system, deployed in Japan for joint military exercises, transitions to indefinite storage at Okinawa's Kadena Air Base, per Japan Times reporting. Russia has stated it does not believe Japan's promises to remove the missiles after drills.

Oct

Fall Diet session opening (estimated)

An extraordinary Diet session is expected to convene in October; the LDP money scandal and the proposed income-linked benefit minister post are among anticipated agenda items. Exact date to be confirmed by Cabinet decision.

Oct

BOJ Monetary Policy Meeting (estimated)

Markets are pricing a possible rate hike following Trump's yen concern remarks to PM Takaichi and the release of July minutes showing board debate over faster tightening. Exact meeting date to be confirmed by BOJ calendar.

Nov

Japan defense budget medium-term review (ongoing)

The government adviser's public statement on a potential 3.5%-of-GDP defense target over 10 years signals an active budget-planning process ahead of the MOD's late-summer budget request cycle.

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JAPAN DAILY BRIEF

Washington, D.C.

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